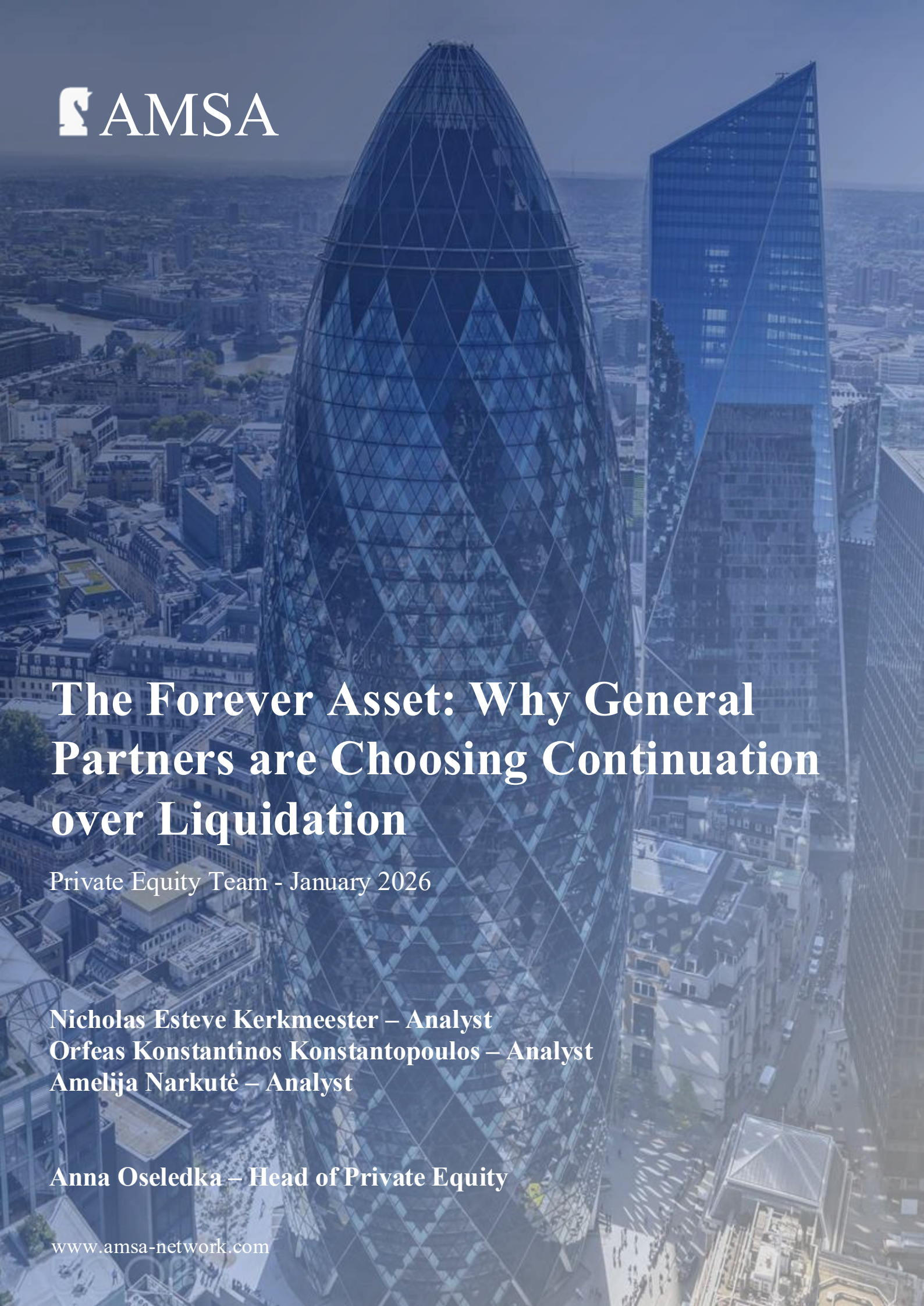


AMSA

The Forever Asset: Why General Partners are Choosing Continuation over Liquidation

Private Equity Team - January 2026

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Introduction

The Rise of Continuation Strategies

The private equity landscape is constantly evolving. What started with leveraged buyouts has expanded into credit, real estate, and various alternative vehicles. The industry's latest innovation is the continuation fund, a creative workaround for the strict time limits found in traditional Limited Partnership Agreements (LPAs).

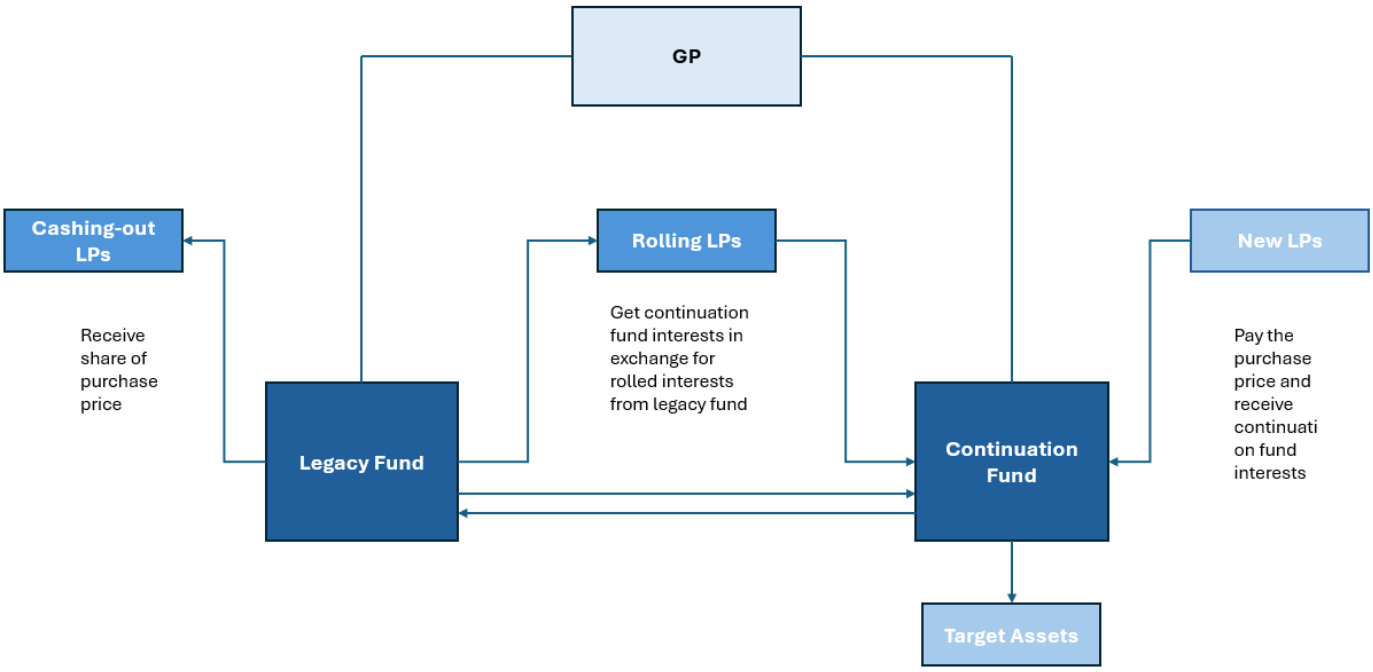
Historically, when a fund reached the end of its term, the manager (General Partner) was forced to liquidate assets, regardless of whether those assets had finished growing. Continuation funds change that dynamic. Instead of selling a high-potential asset prematurely, the sponsor moves it into a newly created fund to keep managing it.

Allowing us to view these strategies through two different lenses:

- Existing Limited Partners (LPs) can choose to "cash out" and take their profits now, or "roll" their interest into the new fund to keep riding the asset's growth (see figure 1).
- New Investors get the rare chance to buy into a mature, proven asset—often with less risk than a blind pool—while building a relationship with the sponsor.

The Conflict-of-Interest Supporters frame this as a "win-win-win" for sponsors, old investors, and new investors. However, there is a distinct downside regarding incentives. Because continuation funds allow managers to retain control of an asset, there is a risk that they might choose this route over a traditional exit, such as an IPO or a sale to a strategic buyer, even if the traditional exit would have generated a higher return for investors. Furthermore, the financial and legal advisors involved often collect fees on the same asset twice (once for the original fund and again for the continuation fund), creating a structural bias that may push sponsors toward these vehicles more often than is strictly necessary.

Figure 1. Continuation Fund Structure



Source: A Continuation fund structure adapted from Kastiel and Nili (2024, p. 16)

The funds also change incentives, because the sponsor is no longer choosing only between holding and a third-party sale—it can deliver liquidity through an internal transfer while retaining control and extending the runway. Sponsors frame these deals around flexibility, risk management, and alignment, and when priced and governed well, they can benefit both LPs and GPs in ways a standard exit can't. The next section breaks down these motives and then focuses on how continuation transactions can accelerate carried interest through carry crystallization.

The "Why"?

Carry Crystallization

In the past few years, continuation funds have grown quickly in GP-led secondaries. Part of the reason is what continuation funds actually allow a sponsor to do. Instead of selling an asset to an outside buyer, when a fund approaches its end date, the sponsor can transfer that asset into a new vehicle and still keep control. Kastiel and Nili (2024, p.16) note that supporters describe this as a "win," but they also emphasize that the structure creates incentive

problems: the sponsor ends up on both sides of the deal. These problems become most visible when we examine how continuation transactions can accelerate and “lock in” one of the most important components of the private equity compensation model: carried interest.

Carried interest (“carry”) is the GP’s performance-based share of profits, typically around 20% under the “2 and 20 rule”. Interest carry is meant to reward realized value creation, LPs receive their contributed capital back (and often a preferred return), and only then does the GP participate in profits through a distribution waterfall. But carry is supposed to show up after a true realization, through an exit strategy, and not after a mark-up.

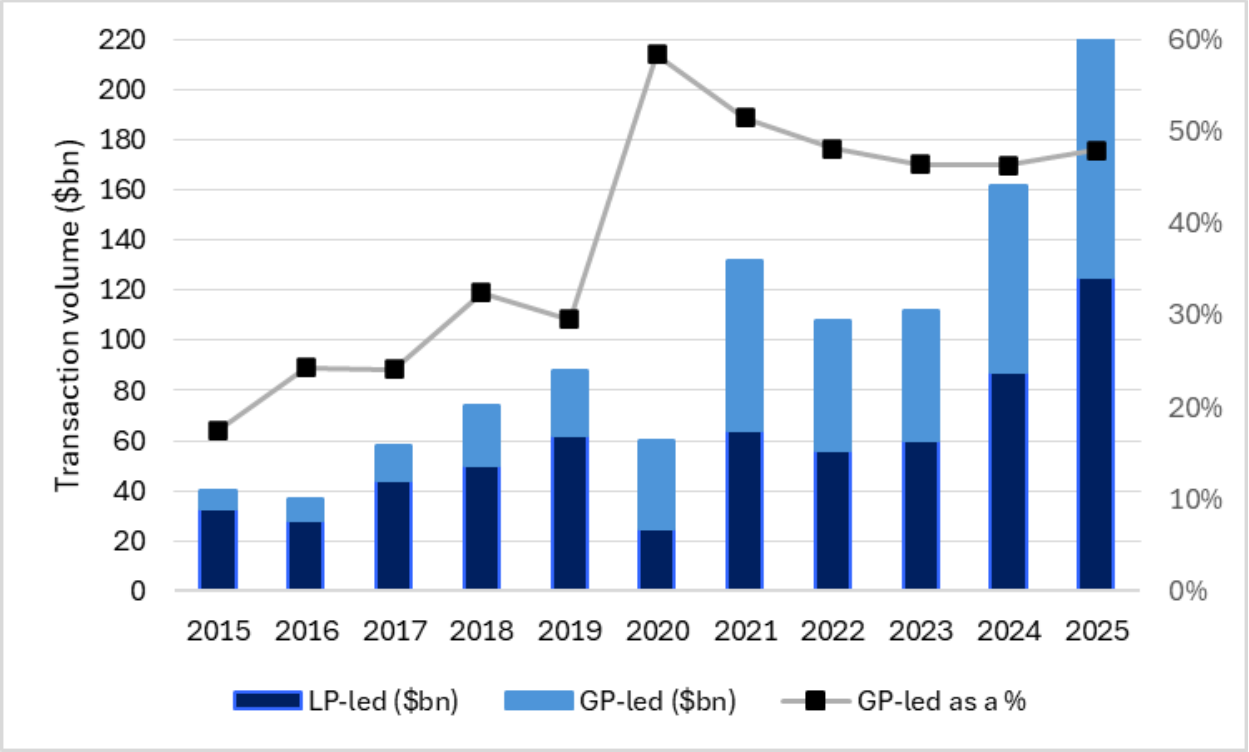
Continuation funds change this by treating an internal transfer as a realization for the selling fund. Rather than waiting years for an IPO or a strategic buyer, the legacy fund can transfer the company into a continuation vehicle and take cash out at that deal price, treating it as a clean exit for the original fund. In a continuation fund transaction, “carry crystallization” is when the GP secures part of its carry upfront, converting a payoff that would normally depend on a future exit into value it can treat as earned today. Kastiel and Nili describe this explicitly: “When a continuation fund is established early in the life cycle of the legacy fund, it enables the GP to crystallize its carried interest immediately upon closing", effectively “taking some money off the table.” The key point is not just that the GP gets paid sooner; it is that the GP can do so without relinquishing control of the asset. As they emphasize, the GP can receive carry “even though the portfolio company was not sold to another buyer and the GP continues to run and benefit from the same assets”.

Allowing us to explore why carry crystallization is frequently discussed as a first-order driver of continuation activity, particularly in earlier-stage transactions. In a conventional exit, crystallizing carry and relinquishing control typically occur at the same moment. In a continuation transaction, the two can be decoupled: the sponsor can trigger an outcome that functions like a realization for the legacy fund (thereby accelerating carry) while still retaining operational control and upside through ongoing ownership in the continuation vehicle. That ability to convert unrealized gains into realizable economics without “letting go” is a central reason continuation funds have shifted from a reactive workaround to a proactive, repeatable strategy.

To illustrate the market trends as of recent years, when it comes to secondary market, and GP led CVs, we use Jefferies’ market estimates to show two related trends: first, GP-led secondaries have expanded materially as a share of overall secondary volume; and second, continuation vehicles constitute the dominant portion of GP-led activity,

reinforcing the notion that continuation strategies have become a regularized part of the liquidity strategy rather than a niche structure used only in unusual conditions. Jefferies frames the current period explicitly in structural terms, describing "the sustained and growing momentum of GP-led secondary technology" as a "structural shift in how GPs now help manage LP liquidity," and concluding that CV usage is now viewed as "a permanent fixture in the private markets landscape."

Figure 2. Global secondary market transaction volume by deal type (LP-led vs GP-led), with GP-led share of total volume (2015-2025)

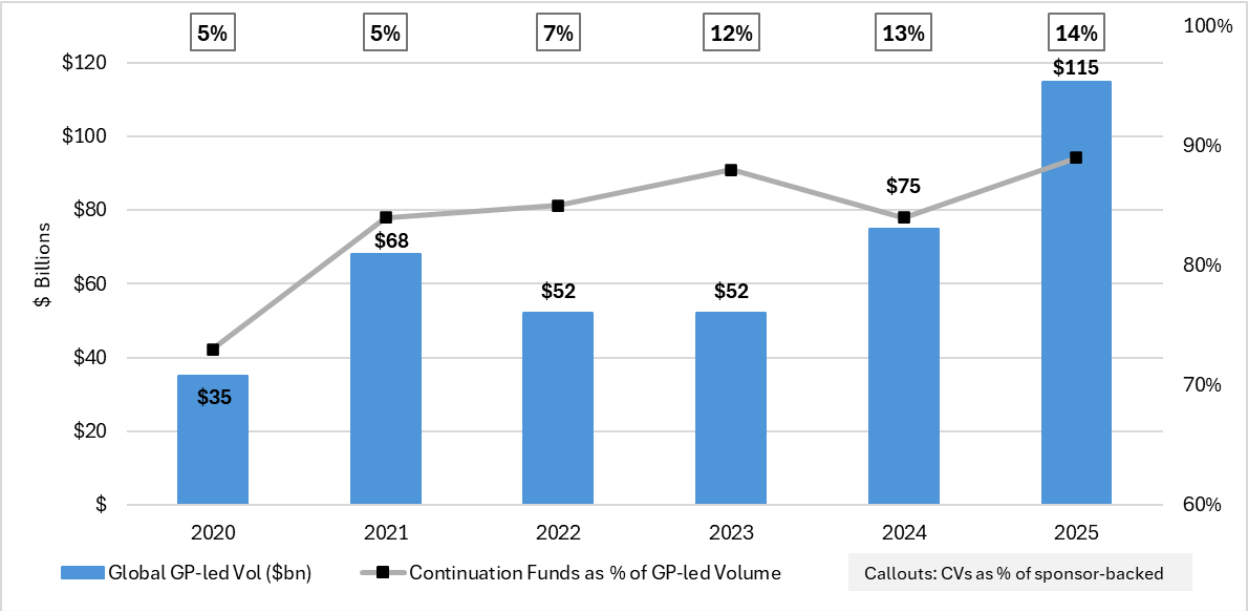


Source: Data collected from estimates from Jefferies private Capital Advisory (FY2020-2025b)

Figure 2 shows that the global private equity secondary market has expanded rapidly over the last decade, rising from roughly $40bn in 2015 to $240bn in 2025, which implies a ~19.6% CAGR over the 10-year period. Additionally, 2025 has seen its total volume reach a record $240bn in 2025 (up 48% YoY), comprising $125bn of LP-led volume and $115bn of GP-led volume. Jefferies attributes the acceleration in market activity to demand and supply strengthening at the same time, highlighting "record supply of LP portfolios and GP-led opportunities," supported by "increasing levels of dedicated secondary capital" and "a wave of new market entrants."

Beyond the headline growth, Figure 2 illustrates a clear mix shift in the GP-led to LP-led composition of the market: GP-led transactions have grown from a secondary feature of the market into a near-equal share of annual volume, reflecting how liquidity solutions are increasingly being generated through sponsor-led processes rather than primarily through LP portfolio sales. Jefferies' 2025 review reflects this near-balance, noting GP-led transactions represented 46% of total market activity in H1 2025. Additionally, imbalances are shown with the GP-led share spike of 2019- 2020, which represents COVID disruptions as LP sales slowed sharply amid valuation uncertainty and wider bid-ask spreads, while sponsor-led solutions offered a more controlled route to generate liquidity without forcing a conventional exit. As markets began to stabilize and LP selling resumed, which was supported by improved pricing and renewed portfolio rebalancing, LP-led volume recovered faster, causing the GP-led Share to moderate even as GP-led activity remained structurally higher than pre-pandemic levels.

Figure 3. Global GP-led secondary volume and continuation vehicles' share of GP-led activity, with CV share of sponsor-backed exits (2020–2025).



Source: Data collected from estimates from Jefferies private Capital Advisory (2025b)

Figure 3 breaks down the composition of the GP-led market. Continuation vehicles have quickly grown to become the main driver in GP-led secondaries and are growing faster than other GP-led structures. In Jefferies' H1 2025 review, of $47bn of GP-led volume, ~87% was attributed to continuation vehicles, but in Jefferies most recent FY2025 report, they stated that H2 GP-led volume peaked at $72 billion, and CVs comprised 89% of total GP-led

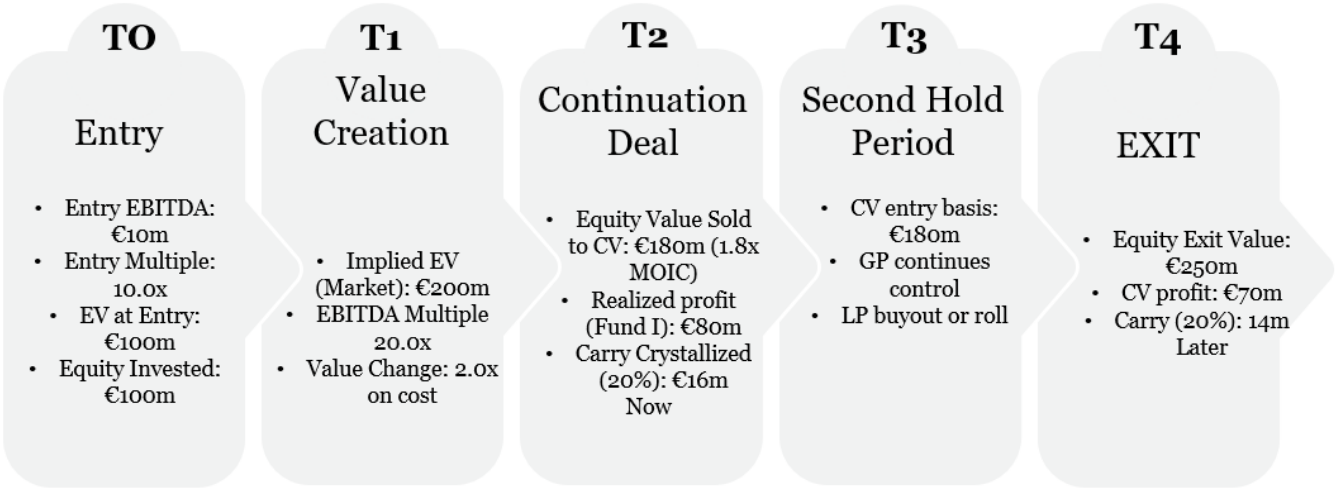
volume, illustrating a 2% share increase in 6 months. Consequently, other GP-led activities such as tender offer (2%) and structured equity and fund finance (12%) continue to diminish in share percentage, as continuation vehicles rise.

Figure 3 makes a second point that's easy to miss: CVs are now showing up in realized liquidity, not just secondary volume. Sponsors are using them alongside the usual exit routes like M&A and IPOs. Jefferies notes that GP-led secondaries represented 14% of all sponsor-backed exit volume in 2025, up from 13% in 2024, and emphasizes that this occurred despite a rebound in traditional exit paths in the second half of 2025, reinforcing the idea that CVs are no longer just a "release valve" but a "mainstream liquidity solution."

Taken together, Figures 2 and 3 show that continuation vehicles are no longer an occasional liquidity workaround; they are now the core architecture of the GP-led market. That matters for carry crystallization because the more repeatable CVs become, the more repeatable the incentive becomes as sponsors can increasingly manufacture a realizable event for the legacy fund without selling the asset to a third party, and therefore accelerate the moment at which carry can be locked in. In that setting, the central question is not whether continuation funds can create value, but whether the continuation decision is being made because it maximizes LP outcomes or because it allows the GP to crystallize economics earlier while retaining upside and control, which is exactly the incentive tension highlighted by Kobi Kastiel and Yaron Nili in their critique of continuation fund conflict.

Practically, carry crystallization in a CV is driven by the transfer price and the waterfall mechanics of the selling fund: the asset is treated as sold, proceeds are distributed, and the GP can meet (or appear to meet) the thresholds that trigger carry earlier than a conventional exit would have allowed. Even where sponsors roll proceeds or reinvest to signal alignment, that does not eliminate the underlying distortion for cashing-out LPs or their roll forward: the GP's incentives become more closely tied to getting the CV done (and to the continuation vehicle's future fee/carry stream) than to pursuing the highest-value third-party exit at that moment. This is why the same transaction that improves "liquidity optics" for the fund can still weaken the integrity of the market check on valuation and the fairness of the realized carry to selling LPs.

Figure 4. Simple carry crystallization model (timeline from entry to continuation deal to ultimate exit).



Source: Author's illustration, based on the carry crystallization mechanism described in Kastiel and Nili (2024).

Figure 4 provides a simplified timeline to show how carry crystallization works mechanically in a continuation transaction. At T0–T1, the GP creates value in the portfolio company (e.g., multiple expansion and/or earnings growth), increasing implied enterprise value. At T2, rather than selling to an external buyer, the legacy fund transfers the asset into a continuation vehicle at an agreed valuation (illustrated as €180m, or 1.8x MOIC on the original equity). Because the legacy fund is treated as having realized a sale at that moment, it can distribute proceeds through the waterfall, and the GP can crystallize carry immediately on the realized profit (shown as €16m at 20%), even though the asset has not yet reached its final exit.

The key implication is shown by T3–T4: the continuation vehicle continues holding the same asset on a new entry basis (here, €180m) and later exits at a higher value (illustrated as €250m). Carry on this "second hold period" is earned later within the CV, meaning the GP has effectively split the economic journey into two phases: an earlier, internal "realization" that unlocks carry today, and a later external exit that determines the ultimate value outcome. Being regarded as a core reason, continuation funds can decouple "getting paid" from "letting go," and why carry crystallization becomes a central incentive to analyze when assessing whether a continuation decision is being made primarily for investor outcomes or for accelerated GP economics.

Due to the time value of money, carry crystallization can be very valuable for GPs, although the same can be said for LPs. For LPs, carry crystallization has both distributional and governance implications. Because the transfer price into the continuation vehicle effectively determines the legacy fund's "exit," selling LPs are highly exposed to whether that valuation reflects a fair market outcome, while rolling LPs accept that part of the asset's economics has already been monetized through the legacy fund waterfall, even though the underlying company has not yet reached its ultimate third-party sale. The core tension is that the sponsor is not a neutral seller: crystallization can strengthen the GP's incentive to favor a continuation process that secures an internal realization and preserves future fee and carry potential, rather than pursuing the highest-value conventional exit at that moment.

Ultimately, carry crystallization is best understood as one of the reasons why PE firms are using CV strategies, and why it is becoming more prevalent in recent years. By creating a separate legal entity to buy out the company, and using this as a realization event, continuation vehicles can accelerate when carried interest becomes payable while allowing the GP to retain control and future upside in the same asset.

A continuation deal can create an "exit-like" moment for the legacy fund—speeding up liquidity—without the GP giving up control. But that isn't the whole story, because the sponsor still has to justify why it didn't sell outright once the asset had appreciated. The bigger driver is the time value of money: a continuation vehicle extends the hold, giving the sponsor room to keep compounding improvements and execute strategic moves that may not fit within the old fund's remaining life. That time value is what makes the strategy feel option-like, and why these deals are often described as "buying time" rather than avoiding an exit.

Option-like payoff

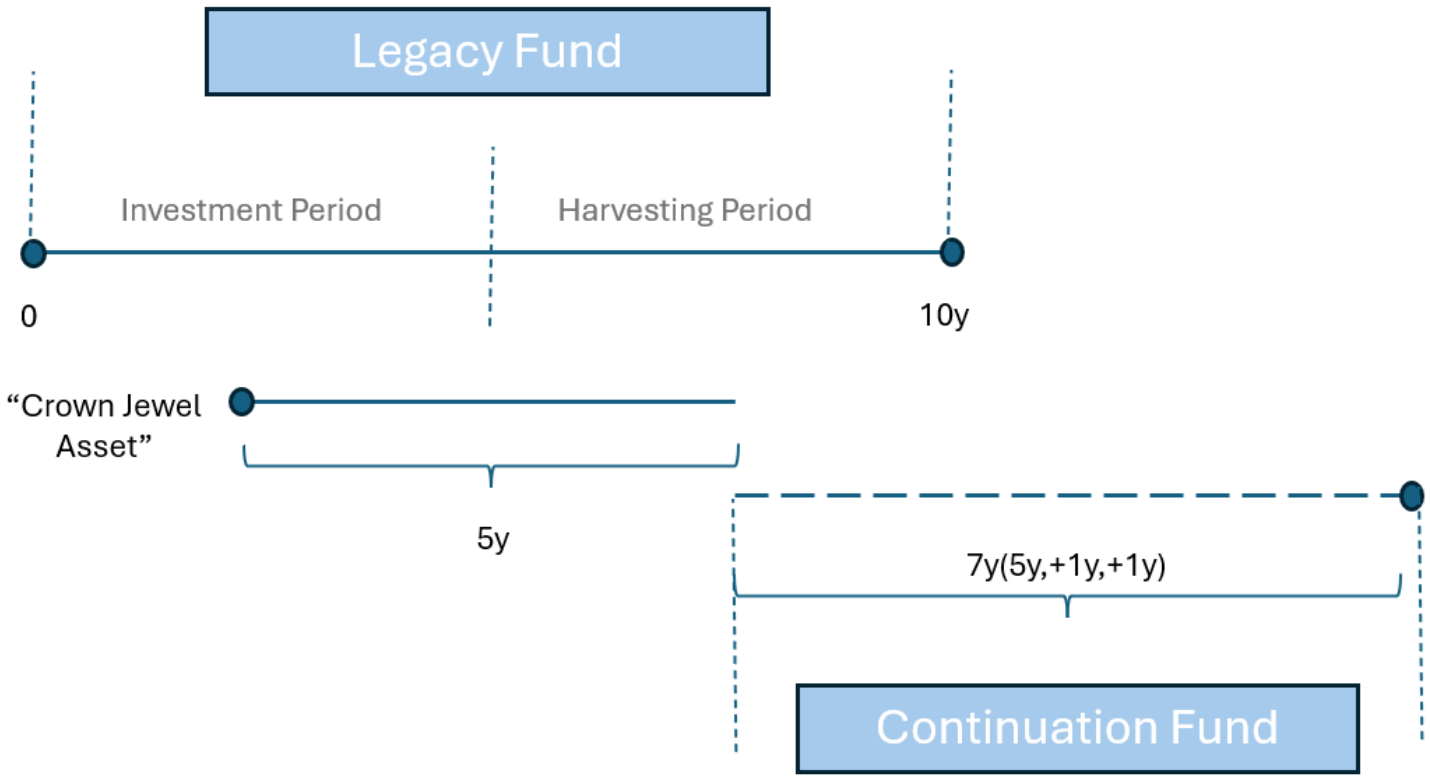
According to Ivashina, Mayer, and Phalippou (2025), the main objectives in the formation of continuation vehicles are (i) extend the asset holding period beyond the initially expected fund term, and (ii) raise additional capital. CVs allow the GP to reset and extend the potential holding period for selected assets by approximately four years—seven years for the continuation fund, net of roughly three years remaining in the legacy fund. The universal stated rationale behind the extension of the holding period is unrealized growth potential. This is the main element that gives continuation strategies an option-like payoff. A typical CV also raises additional capital to support inorganic growth, for example, with a buy & build strategy, which incorporates the intrinsic value of the real options that are generated with the potential acquisitions.

In addition to the above, moving assets into a continuation vehicle (CV) effectively resets and extends the holding period for selected assets - typically by about four years beyond the original fund's term. This move creates dynamics analogous to option pricing theory; by extending the time to liquidation, the GP increases the probability that the asset’s value will rise significantly above the preferred return and cost basis - effectively the 'strike price' for carried interest - thereby enhancing the option value of their future performance fee.

Furthermore, we can observe the resemblance of CV with real options through the two following angles:

1. Future Carry Realization: This structure grants GPs a valuable "option" to receive additional carried interest in the future on the same assets. By transferring assets rather than liquidating them, GPs can retain "high-potential" firms that require more time to mature, thereby maintaining the possibility of realizing a high final payoff that might not be accessible at the typical fund deadline.
2. Dual-Layer of Optionality: The CV structure provides GPs with a double layer of optionality: the option to raise a CV generally (deciding whether to extend or exit) and the option to select specific firms (portfolio selection) to transfer, allowing them to strategically retain assets with the highest future upside.

Figure 5. Option-like payoff extension through a continuation vehicle



Source: A Model of Strategic Asset Transfers adapted from, Victoria Ivashina,Simon Mayer, and Ludovic Phalippou (page 7)

This diagram visually demonstrates how a CV extends the lifespan of a specific asset beyond the limitations of the original fund.

- The Legacy Fund Timeline: The standard lifecycle of a Private Equity "Legacy Fund" (typically 10 years) is presented in the top part of the diagram. This timeline is divided into an "Investment period" (years 0-5) and a "Harvesting period" (years 5-10).
- The "Crown Jewel" Asset: The diagram highlights a specific high-performing asset (labeled "Crown Jewel asset") that is acquired during the investment period and held for approximately 5 years.
- The Transfer Point: Instead of exiting the asset at year 10 (the initially stated deadline of the legacy fund), the asset is transferred out of the Legacy Fund roughly halfway through its life (around year 5-7).
- The Continuation Fund Timeline: The bottom portion shows the new vehicle's timeline. The CV resets the clock, creating a new term of approximately 7 years (structured as a 5-year base term plus two 1-year extensions: 5y, +1y, +1y).

The diagram clearly illustrates the **"Option-like payoff extension"**. By moving the asset from the top timeline (Legacy) to the bottom timeline (CV), the GPs effectively create a total holding period of roughly 12 years or more (5 years in the legacy fund + 7 years in the CV), allowing for value realization that would be impossible under the original 10-year constraint.

Thus, Kastiel and Nili (2024) point out that supporters of continuation funds view them as beneficial to all parties involved. For GPs, continuation funds introduce some degree of flexibility that is typically absent from traditional fund structures. For example, there is no need for a new board of directors to be appointed.

Beyond simple horizon extension, continuation vehicles can be viewed as compound real options, where extending ownership preserves the option to sequence future strategic actions rather than commit to an irreversible exit.

- Real options theory emphasizes that the value of waiting is highest when growth is path-dependent and contingent on future states (Dixit & Pindyck, 1994; Smit & Trigeorgis, 2004).
- CVs institutionalize this logic by deferring exercise of the exit option while retaining flexibility to pursue follow-on acquisitions, scale effects, or multiple expansion.
- However, real-options theory also stresses that option value is maximized only when continuation is disciplined by credible exercise and abandonment rules; otherwise, extended optionality risks becoming delay motivated by incentives rather than value creation.
- Thus, the most important question in continuation strategies is about GPs' honest motives and agency problems that could occur due to the information asymmetry between GPs and LPs, and the conflicting interests with regard to exit timing and value.

Valuation Information Asymmetry

Within the private equity framework, the General Partner is responsible for performing investments and overseeing portfolio operations, serving as the fund's authorized representative while bearing a legal obligation to act in its best interest. In contrast, the LPs have limited rights to be involved in daily operations or challenge the GP’s decision-making, and at the same time, they owe no duties to the fund. GP and the LPs privately negotiate a limited partnership agreement (LPA), which legally clarifies the relationship between the investors and the fund, explicitly covering

provisions on voting rights, access to information, transfer restrictions, the fund's strategic objectives, and compensation structure.

As described by Kastiel and Nili, based on past research evidence, the LPA does not provide a satisfactory response to agency problems in private equity because of coordination problems. Even when the discussion is about experienced and knowledgeable LPs, investor sophistication alone - the argument goes - is insufficient to overcome unfavorable contracting outcomes. Because investors can secure - on an individual basis - tailored advantages through side letters, they have limited incentives to push for stronger, collective protections in the fund agreement, prioritizing individual benefits over fund-wide safeguards.

It is argued that continuation funds can potentially magnify the information asymmetry problem in the private equity industry. During the funds' lifetime, GPs' valuations are highly subjective (inputs, market expectations, growth trajectory, etc.) and susceptible to manipulation due to the absence of public information and asset illiquidity. Unlike LPs, GPs have inside information, as they are in direct contact with portfolio companies, but conflicting interests may hinder them from providing accurate information to LPs. This information gap closes when portfolio companies are sold in an arms-length transaction (sale to a non-related third party). However, continuation funds allow GPs to delay this crucial "market check" on their valuations.

Although continuation fund transactions frequently include new purchasers, they do not offer the same degree of market validation found in traditional exits. In the view of Kastiel and Nili in a standard exit, the General Partner's drive to sell at the maximum possible price creates a bargaining environment that reveals the asset's actual value. However, in the context of continuation funds, the GP's dual position affords them considerable influence over negotiations and valuation, creating a scenario where their incentives may diverge from the primary goal of maximizing the asset's price.

In a traditional PE exit, the GPs would advertise their portfolio company as a highly valuable opportunity and try to gather the interest of potential buyers. In the view of Kastiel and Nili in a standard exit, the General Partner's drive to sell at the maximum possible price creates a bargaining environment that reveals the asset's actual value. Continuation funds can rarely involve new LPs (apart from the old ones who are rolling their interests), and a small portion of the investors will not perfectly reflect the true market's perspective on the subject asset. Given that GPs sit on both sides of the deal - managing both the selling fund and the buying vehicle - they are provided with

disproportionate power over the valuation process, which creates the risk that their personal incentives may diverge from the primary goal of maximizing the asset's price.

As a result, continuation fund transaction prices are less reliable in reflecting investments' actual value. Furthermore, the major data vendors often lack systematic performance data (the availability and the quality of PE deal-level data have certain limitations, even in the most well-established databases), which makes the assessment of sponsors' performance even more challenging for LPs. Such opacity grants sponsors a longer window to manipulate reported figures, effectively clouding the investors' view of the GP's actual track record and competency.

Direction of Valuation Bias:

- Undervaluation (Inverse Selection): GPs may anchor valuations low when transferring high-quality "crown jewel" assets. By transferring successful assets at an undervalued price, the GP (who often co-invests heavily in the new vehicle) and new investors capture the surplus value that should have gone to exiting legacy LPs.
- Overvaluation (Adverse Selection): Conversely, GPs may influence valuations upward for lower-quality assets ("zombies") to maximize the crystallized fees and carry from the exiting fund before the asset's poor performance is revealed

As Deane and Robinson (CFA Institute, 2025) point out, one key to addressing the conflicts of interest and eliminating the information asymmetry is for the manager to conduct a fair process in creating a continuation fund, by employing a third party valuation advisory firm or investment bank to review the asset's financial models, comparable public companies, and precedent transactions, and finally issue a fairness opinion analysis. This essentially validates the valuation models that the GP has created. However, as Kastiel and Nili note, a fairness opinion is often used when a true market test is absent, meaning it acts as a "second-best" solution to determining value, as it can also be manipulated to a certain extent.

Continuation vehicle and high fee base

Continuation funds are a type of fund in private equity that allows general partners (GP) to extend their asset holding beyond the legacy fund's typical lifetime of 10 years. In a continuation vehicle (CV), GP sells one or more assets from the maturing fund to a new fund that is also managed by them. The main function that benefits GP in this mechanism is resetting the management fee. When the asset is transferred to a continuation fund, the GP resets the

management fee to align with the asset's current fair market value rather than basing its fee on historical asset value. In other words, the fee calculation resets using a higher asset valuation, which allows GP to reset and often increase its fee base from the beginning of the new fund. Kastiel and Nili (2024) note that even if the annual fee rate in a CV is slightly lower (e.g., 1.5% vs 2% in a traditional fund), it is applied to a larger net asset value, so the dollar fees are "high from day one" on the stepped-up valuation. By launching the continuation fund, GP gets benefits to prolong their management fee stream and reset economic terms on an existing asset, which is a great financial incentive for them.

Fee structure in traditional and continuation funds

In a traditional private equity fund, the management fees are usually around 2% of generated capital during the investment period, and then it often declines after that period based on the actual invested capital at cost. As the fund ages, the fee shrinks due to investments being realized or written down, or LP agreements force the fee to step down. Therefore, after the investment period, management fees typically step down and are calculated on the remaining invested capital at historical cost rather than on total committed capital, leading to a mechanical decline in fee revenue. In traditional private equity funds, management fees decline substantially in the later stages of the fund's life or are even waived entirely when the fund is extended beyond its original term (1 to 2 years), to appeal to LP and reduce conflict of interest.

By contrast, CV creates a new fee-paying structure in which management fees are charged on the current fair market value of the assets acquired in the continuation fund. Because the continuation vehicle typically deploys most of its capital upfront to acquire these assets, fees (commonly around 0.5–1.25%) of net asset value are applied to a stepped-up valuation rather than to the original cost (historical) base. This transfer to the continuation fund on this logic shows that if an asset has appreciated, GP's fee base will grow accordingly. We can base this intuition on the Kastiel and Nili (2024) example. This is a case where an asset valued at $500 million in the old fund is sold to a CV for $1 billion. The legacy fund had a 2% fee on $500M (~$10 million a year), while the CV might charge 1% on $1B, which is $10 million a year. In this scenario, the GP maintains the same $10 million annual fee (despite halving the fee rate) because the fee basis doubled. If the fee rate were, say, 1.5% on the $1B value, the GP's fee would jump to $15 million a year, which is a 50% increase for managing the *same* asset after transfer. Thus, by recalculating fees on updated NAV, continuation funds can boost GP fee income even when fee percentages are marginally reduced.

Empirical research highlights that this fee-resetting mechanism can create incentive conflicts. For instance, one study finds GPs may even be tempted to **i**nflate the valuation of assets when transferring to a CV, because higher NAV directly translates into higher fees. However, reputable GPs will strive for an independent fairness opinion to justify the price; this can be done by auctioning, but the built-in incentive remains. In extreme cases, a GP can benefit from higher fee income even when the asset is transferred at a small discount to market value. Kastiel and Nili (2024) calculate that a continuation fund could grant a GP tens of millions in additional fee income, effectively offsetting a lower selling price, which can compensate for a lower sale price received by the selling LPs. These scenarios underscore why the "step-up" in fee base is a driving rationale for GPs: it can yield higher fee income over the extended holding period of the CV.

To summarize, GPs often see establishing a continuation vehicle as a major win due to several key reasons. The first one is a fee scale with higher valuations. GPs can charge fees on updated asset valuations in a CV, so they immediately earn more as an asset's value grows without doing new deals. In essence, the GP is rewarded for past value creation with a higher fee base. The second reason is reversing late-stage fee decay. Near the end of a fund's life, fee income naturally declines or stops, but transferring an asset to a new continuation fund resets the clock on fees. Allowing GPs to continue charging management fees for several additional years instead of watching fees taper off toward the fund's close. Third one, stable, predictable income from mature assets, CVs typically hold lower-risk companies with steady growth or cash flow, providing a reliable fee stream for the GP. It is a more predictable income source than launching a new fund (with uncertain outcomes), allowing the GP to maintain steady fees even when new fundraising or exits are challenging. And lastly, **w**ith a CV, the GP keeps control of a successful asset instead of selling it to an outside buyer. Meaning that GPs continue to manage the company and earn fees rather than ending their involvement with a one-time sale.

LP interests: aliment or conflict

As it was concluded that continuation strategy strongly benefits GPs, does it benefit or harm LPs? In theory, assets in CV still have a positive upside for both rolling and new investors; however, in practice, a lot of LPs express their concerns that it only serves GP interests. The GP's ability to sit on both sides of the deal, that is, on a seller's side (old fund), and the buyer's (new fund), creates a lot of powerful positions to tilt the deal in their favor. Regulators and LP advisors have noted that GPs could structure continuation transactions to collect fees and carry "on the same assets twice" without necessarily improving LP outcomes. Looking at historical numbers, the majority of LPs,

around 80-90% cashes out of the deal when the time for continuation happens. The majority of them prefer a clear exit rather than pay GP a management fee to keep the asset. Some LPs argue that continuation fund transactions in general can place them under time pressure to either roll over their investment or accept a sale. This can potentially lead to higher ongoing fee payments or suboptimal exit prices. Academic research similarly highlights misalignment in GP-led transactions, noting that general partners may have incentives to favor higher asset valuations, as management fees are directly tied to net asset value. In such cases, new investors may overpay for assets while existing investors receive lower prices, yet the general partner can still benefit through increased fee income and potential future carry. On the other hand, with full transparency between LPs and GPs, continuation funds can be a win for both sides. CV allows liquidation and allows willingness to LPs who want to stay invested in the strong asset. Some limited partners value the option to remain invested in a continuation vehicle as it benefits from further upside, particularly when fee rates are lower than those of traditional funds. As continuation funds often involve mature, known assets and reduced investment risk, lower fee rates can still allow rolling LPs to earn attractive net returns, provided that performance remains strong. Ultimately, whether a continuation fund aligns GP and LP interests depends on the fairness of the transaction. When pricing and fees are reasonable, and the asset continues to grow, both parties can benefit. However, if deals are primarily motivated by fee extraction, it may disadvantage LPs.

Fee resets help explain why continuation vehicles can be attractive to sponsors even when the headline fee rate looks lower, which is also why LPs often view them as governance-heavy events rather than routine portfolio management. By creating liquidity, a continuation deal can make the legacy fund look more “realized” from the outside—reported as a sale and distribution—and it can reset the story around the asset under a new plan. Those realized outcomes, especially DPI, tend to carry more weight in fundraising than unrealized marks, so they can strengthen how the manager’s track record is perceived. The next section focuses on track-record enhancement as a final driver of continuation activity.

Track – records Enhancement

Continuation funds allow GP to sell portfolio assets from a mature fund to the new one. This transaction of the assets between funds is accounted for and reported as a genuine exit; the mature fund is sold, and the cash is distributed to LPs. GP can thus report a realized return and IRR. This effectively turns an internal transfer into a track-record event for the mature fund as if the asset has been sold on the open market. The immediate outcome of the transaction to the continuation fund can be classified as a temporal boost to old fund performance metrics such as DPI (Distribution

to Paid -in capital) and MOIC (multiple on invested capital). By selling to CV, GP generates a cash distribution, which inflates DPI, without finding outside buyers. This transaction creates the appearance of a realized exit even though the asset remains under the GP's control. Critics argue that such improvements reflect recycled capital rather than true business gains. The fund's IRR may jump due to the earlier "exit" timing, and the MOIC can look higher once part of the investment is realized, but these enhancements stem from timing and accounting rather than an independent value-creating sale.

One of the reasons why GP would want a continuation fund strategy is to improve track records before raising a new fund. LPs, both current and prospective, place great weight on realized performance; that is, they want to see tangible exits, cash returns, and momentum in DPI. Research finds that actually returning cash to investors, boosting DPI, is a powerful signal that increases the odds of successful LP funding. Brown et al. (2019) demonstrate that "credible signaling" via actually distributing capital back to investors is more influential on fundraising success than high paper returns. In other words, LPs reward GPs who return cash (realized gains), viewing DPI as tangible evidence of success, whereas *unrealized NAV increases* alone carry less credibility. By using a continuation vehicle, a GP can claim "we've exited X assets" and "returned Y% of our prior fund's capital," showcasing a "strong realization profile" to impress investors. Such realized statistics can be more persuasive than just paper gains. Brown, Gredil & Kaplan (2019) show that distributing capital back to LPs has a stronger effect on raising the next fund than high valuations alone. Consequently, a continuation fund helps a GP polish the narrative of performance consistency and timely distributions. From the LPs' perspective, those who choose to cash out get liquidity and realize returns faster, which can be attractive if the fund was otherwise illiquid. However, the benefit to exiting LPs is mainly timing; they receive proceeds earlier, not necessarily a higher ultimate value. Many legacy LPs actually decline to roll into the new fund, suggesting that while it provides an exit option, they may be cautious about the GP's motivations or the asset's remaining upside.

The practice of selling assets to oneself raises significant governance concerns. The GP is effectively both seller and buyer, the valuation is not fully market-tested, and the GP has discretion in setting the price and timing of the sale. This creates an inherent conflict of interest; the selling fund wants the highest price, whereas the buying fund and its investors prefer a low price. However, in the continuation strategy, both sides are controlled by the same sponsor. As a result, performance figures can be based on the internal party transaction rather than economic success, which calls into question GP and its fund reliability. Researchers bring to attention that continuation deals, in some cases, can mask underperformance because of distorted valuations provided to the public. For example, investor Nassef

Sawiris famously criticized continuation funds as “the biggest scam ever,” on the basis that they let GPs avoid recognizing losses by transferring assets into a new vehicle instead of taking an actual loss or markdown. Even though industry professionals are careful about calling it fraud, they acknowledge it can amount to “financial wizardry to keep IRRs high and fees flowing” without a real exit. Kastiel and Nili (2024) likewise document a “web of conflicts” in these transactions and note that continuation funds give sponsors opportunities to “obscure their true performance for a longer period”. In theory, if the price is set too high, new LPs in the continuation fund overpay; however, if it is too low, the old LPs in the mature fund are short-changed. This translates to a win for the GP, but not necessarily for one of the investor groups. Given these concerns, regulators have begun to step in. The U.S. SEC’s 2023 rules now require GPs to obtain an independent fairness opinion for any GP-led secondary/continuation fund sale. The SEC’s rule requires disclosure of conflicts of interest in an effort to ensure fair and transparent pricing of an asset. However, the SEC can not fully resolve the metrics that improve the GP reports. In sum, using continuation funds for track-record enhancement is a controversial tactic. It can temporarily satisfy LPs’ desire for distributions and boost a GP’s fundraising story. But on the other hand, it also raises agency conflicts and ethical questions. The GP’s ability to “mark its own homework” in these deals means that strong oversight and alignment of interest are critical. As academia and regulators have observed, such optically enhanced track records should be treated with caution to distinguish genuine performance from “recycled” exits.

Now moving from understanding the crux of why GPs create continuation vehicles to actual implementations. Here we will discuss 3 distinct cases, where these continuation funds are used in different market conditions, in different sectors, and in different time periods. We will look to analyse the why behind it. And to further exemplify the functionality of this increasingly used strategy.

CASE STUDIES

Nordic Capital - ERT

Nordic Capital is a European private equity firm that executed a GP-led continuation fund for ERT, a clinical trial technology business. As Fund VII approached the end of its typical 10-year life, limited partners expected realizations and pushed for a sale. Nordic believed ERT still had meaningful upside, so in 2018, it launched a continuation vehicle (CV1) to acquire ERT and a small set of other Fund VII assets. The deal - around €2.5 billion—was one of the largest GP-led secondary transactions at the time.

The structure gave existing LPs a choice: sell for liquidity or roll their exposure into CV1 for a longer hold. New investors (including secondary specialists such as Coller Capital) provided the capital used to purchase the assets from Fund VII. To support governance and price discovery, Nordic ran a competitive process, and CV1 acquired the assets at roughly an 11% premium to the latest NAV, suggesting the transaction was done near (or above) market value rather than at a discount.

After the transfer, ERT continued to scale and later merged with Bioclinica to form Clario, reportedly valued at about $5.9 billion at the time. Another CV1 asset, The Binding Site, was later sold at roughly a 19× MOIC, implying about a 35% gross IRR. Overall, the case illustrates how a continuation vehicle can extend ownership of high-quality assets while giving LPs a liquidity option and bringing in new capital for continued value creation.

To ensure transparency and strong governance, Nordic Capital ran a competitive process to set a fair market price for the assets. The continuation fund paid approximately 11% above the latest reported valuation (i.e., about an 11% premium to NAV). As a result, the deal was executed at a strong price that favored investors. It was not a case of low-balling the assets; ERT and the other companies were sold at roughly NAV × 1.11, signaling confidence in their quality. This pricing was broadly consistent with the secondary market environment at the time, when high-quality GP-led deals often traded around 95–100% of NAV (near par).

By rolling ERT into a new fund, Nordic Capital gained additional time and capital to continue value creation. The roll-over process was supported by outside investors and advisors, helping to validate pricing and governance. This

third-party involvement suggests Nordic Capital was not using the continuation strategy to offload a weak asset, but rather to extend ownership of a strong performer and offer an attractive opportunity to both existing and new LPs.

After the transfer, ERT continued to grow significantly. It later merged with Bioclinica, creating a larger company called Clario. The combined business was valued at $5.9 billion at the time of the merger. This outcome supported Nordic Capital's decision to hold ERT longer, helping turn a mid-sized company into a larger industry player.
Both groups of investors saw strong performance and financial gains from the deal. One example is The Binding Site, a diagnostics firm in the continuation portfolio, which was eventually sold for a 19× multiple of invested capital. This equated to roughly a 35% gross IRR. Showing us that the assets transferred into the CV were high quality (not "leftovers") and still had meaningful upside.

Overall, Nordic's CV1 demonstrates how continuation vehicles can extend ownership and capture additional value in high-quality assets. By structuring a well-priced continuation fund, Nordic provided liquidity and optionality to LPs, while re-investors gained exposure to further upside. The strong post-CV1 exits (e.g., The Binding Site) reflect both asset quality and disciplined pricing.

BC Partners – PetSmart / Chewy (2018–2019)

While technically labeled a liability-management exercise, BC Partners' 2018 maneuver with PetSmart resembled a continuation-style strategy before the term became mainstream. The firm faced a structural problem: Chewy's growth upside was effectively trapped inside PetSmart's highly leveraged balance sheet. Rather than risk an early sale or allow the asset to be constrained by creditor claims, the sponsor transferred 36.5% of Chewy into an unrestricted subsidiary it controlled (Portrayed in table 1). Functionally, that move separated the asset from the restricted group and preserved upside for equity holders.

The controversy exploded over the price tag attached to that move. To legally slide the asset out of the reach of creditors, BC Partners had to prove the transfer fit within specific "allowance buckets" in their loan agreements. Relying on a fairness opinion, they anchored Chewy's value at just $4.45 billion-roughly 1.3x revenue (see Table 1). This lowball valuation immediately triggered lawsuits from creditors, who cried foul. They argued that PetSmart was essentially insolvent and that Chewy was the only lifeline supporting the company's $8 billion debt load. This

clash perfectly illustrates the "adverse selection" fear in continuation funds: the suspicion that the GP is using its inside knowledge to set an artificially low price, stripping value away from legacy stakeholders to benefit the new structure.

Table 1. Derivation of Chewy transfer valuation from covenant baskets

Metric	Transfer Event (June 2018)	Realization Event (June 2019)	Delta / Outcome
Event Type	Asset Transfer / Unrestricted Sub.	Initial Public Offering (IPO)	Value Crystallization
Valuation	$4.45 Billion	~$14.0 Billion (Day 1 Close)	+214% Increase
Rev. Multiple	~1.3x Revenue	~4.0x Revenue	Multiple Expansion
Primary Beneficiary	BC Partners / Equity Holders	BC Partners / Rolling LPs	Captured "Option" Value
Losers	PetSmart Creditors / Exiting Stakeholder	N/A	Missed Upside

Source: Adapted from Complaint, Argos Holdings Inc. et al. v. Citibank, N.A., No. 1:18-cv-05773 (S.D.N.Y. June 26, 2018)

The creditors' worst fears-and the Sponsor's thesis- were validated just one year later in the public markets. When BC Partners took Chewy public in June 2019, the market didn't see a $4.5 billion company; they saw a rocket ship. The stock popped to a ~$14 billion valuation on day one, a massive 2.7x jump from the transfer price (see table 2). That $9.5 billion gap is the ultimate proof of the "option-like payoff." By controlling the timeline and holding the asset through a continuation-style structure, the Sponsor captured nearly $10 billion in value creation that, in a standard liquidation scenario, would have likely gone to pay off the bank.

Table 2. Valuation discrepancy: private transfer vs. public realization

Metric / Dimension	The Transfer (GP-Led Action)	The Realization (Market Event)	The "Spread" (Value Creation)
Date	June 2018	June 14, 2019	~12 Months Duration
Event Type	Internal Asset Transfer (Unrestricted Sub)	Initial Public Offering (IPO)	Liquidity & Price Discovery
Valuation (Enterprise Valu	$4.45 Billion	~$14.0 Billion (Day 1 Close)	+$9.55 Billion (+215%)
Revenue Basis (Run-Rate)	~$3.5 Billion	~$3.5 Billion	Same fundamental base
Implied Revenue Multiple	~1.27x Revenue	~4.0x Revenue	Multiple Expansion (2.7x)
Pricing Mechanism	Fairness Opinion (Theoretical Model)	Public Market Bookbuilding (Actual Bids)	Theoretical vs. Actual Value
Key Beneficiaries	PetSmart (Legacy Entity) - Used for compliance	BC Partners & Rolling Equity Holders	Captured the option upside
Primary Conflict	Price set to fit debt covenants ("Baskets")	N/A	Valuation was anchored artificially low
Market Context	High liquidity, but asset trapped in bad structure	"Hot" IPO market for growth/tech	"Inverse Selection" (Good asset, bad seller)

Source: Argos Holdings Inc. et al. v. Citibank, N.A., No. 1:18-cv-05773 (S.D.N.Y. June 26, 2018); Chewy, Inc., Registration Statement (Form S-1) (June 2019).

Thoma Bravo - Imprivata

The third case to be presented is Thoma Bravo's Imprivata acquisition. It is presented as a “peak cycle” case because it shows how continuation pricing can look favourable (often near NAV). The “peak cycle” in this case is when assumptions are made from market sentiment, in which they often inflate multiples. In July of 2016, Imprivata was taken private by Thoma Bravo at $19.25 per share, a 33% premium at the time, thus valuing the company at roughly $544m.

By 2020, reports indicated that Thoma Bravo was in the process of looking for an exit. There were talks that they were valuing it at around $2 billion. But exit timing negatively impacted them: Covid hit. Volatility spiked, and buyers became far more selective. Under these circumstances, an outright sale would risk selling Imprivata at a “clearing price” rather than a value-maximizing exit (due to software comps/multiples moving rapidly). The sponsors were forced to discuss continuation strategies. Having to choose between forcing a sale into uncertainty or extending the hold to protect upside and optionality.

When markets opened up in 2021, Software companies were booming. Now, high quality software and cybersecurity assets are back in favor. This meant that financing was available, and single asset sponsor-led deals could clear with tight pricing. Making the NAV inflated due to high multiples. In this situation, we consider the continuation fund to be effectively buying in at “peak pricing.” If later on the multiples were to fall, the CV would take a hit, even though

the company itself is still performing well. This case is not about Imprivata being a weak asset; it's all about timing. Buying or rolling into a CV near NAV in a “hot” market can still mean entering at peak pricing, which becomes painful if sector sentiment cools, even if the company keeps executing.

Instead of forcing an exit in 2022, Imprivata moved into a “build phase” cycle. Thoma Bravo made additional investments in Imprivata to fund its acquisition of SecureLink. Extending the hold period and continuing on its value creation plan instead of exiting due to uncertainty. To simplify, even if public market multiples compress, the sponsor can still drive equity value through operational improvements, product expansion, and add-on M&A.
More recently, Reuters reported on the 30th of January that Thoma Bravo is exploring a sale of Imprivata that could value the company up to $7 billion. Compared to its previous $2 billion sale discussions, quite an increase. Allowing for a comparison that, although assets may look “fully priced” at one point in the cycle and still generate substantial upside later, the investor group holding the asset at each stage is exposed to the valuation regime of that moment.

Conclusion

Continuation funds started as a practical fix for a very real structural mismatch: private equity assets don’t always mature on the same timeline as a 10–12 year fund. What this report shows, though, is that continuation vehicles (CVs) have grown beyond a “cleanup tool” at the end of a fund’s life. They are increasingly a repeatable strategy that reshapes how liquidity, control, and performance are manufactured and communicated across the industry.
At their best, continuation funds can genuinely solve problems for everyone involved. They can give existing LPs a clean choice between liquidity and continued upside, offer new investors exposure to a seasoned asset rather than a blind pool, and allow a sponsor to keep compounding value when the original fund clock is simply running out. The option-like logic is real: more time can create more value when growth is path-dependent, operational levers take years to play out, and add-on acquisitions need runway. The Nordic Capital case illustrates this “clean” version of the story—competitive process, credible pricing, and tangible post-transaction value creation.

But the same features that make CVs useful also make them fragile from a governance standpoint. This report’s core insight is that continuation funds don’t just extend time; they also rewire incentives. They allow GPs to decouple “getting paid” (through carry crystallization and fee resets) from “letting go” (through a true third-party exit). That decoupling is powerful—and it’s exactly where the conflict risk lives. When the sponsor controls both sides of the transaction, the normal market discipline of an arms-length sale is weakened, and valuation becomes the central

battleground. The direction of bias can cut both ways: strong assets can be transferred too cheaply, shifting upside away from exiting LPs, while weaker assets can be priced optimistically, supporting earlier carry and a cleaner-looking track record. The BC Partners / Chewy episode captures why stakeholders worry about this: when the "internal price" and the "external market price" diverge sharply, it's hard not to question whom the structure was really designed to serve.

So the question is no longer whether continuation funds can create value—they can. The real question is when they should be used, and under what safeguards. If CVs are becoming permanent architecture in private markets, then fairness can't be treated as a vibe; it has to be engineered. That means credible price discovery (not just a box-check fairness opinion), transparent disclosure of incentives and economics, sufficient time and information for LPs to make a real choice, and governance terms that prevent the deal from becoming a mechanism for fee longevity and optics management. In other words, continuation funds should be judged less by the narrative and more by the process: who sets the price, who benefits from the timing, and whether LP outcomes improve net of fees, not just on paper.

Stepping back, continuation funds are a reminder that financial innovation is rarely purely good or purely bad—it's usually a tool that amplifies whatever incentives sit behind it. Used with discipline, CVs can protect long-term value creation from an arbitrary deadline. Used opportunistically, they can turn liquidity into a managed illusion: an "exit-like" event that boosts DPI, accelerates carry, and extends fee streams without the hard truth of a market sale. The future of continuation strategies will likely be decided in that tension—between flexibility and accountability—and the industry's credibility will depend on whether the governance catches up to the innovation.

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Note : (2025a) = Jefferies H1 2025 Global Secondary Market Review
(2025b) = Jefferies FY 2025 Global Secondary Market Review

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